taccavi[9] loans which were to be restricted to relief in times of distress. Banks were to be encouraged to open branches in areas where banking facilities were not available, with the proposed Reserve Bank placing a deposit for the first five years on terms it deemed necessary. Sub-branches or part-time branches in small centres were also to be encouraged but no new branches were to be opened without the approval of the Reserve Bank to ensure the orderly development of joint-stock banking. It also suggested that the banks pool their information on customers and organize a suitable system of gathering information.

Banking Legislation: The Committee recommended legislation to protect the public against dishonest or incompetent bank management. All banks were to receive permission from the Reserve Bank to commence business. The Committee recommended that a special Bank Act be passed incorporating provisions of the Indian Companies Act in regard to banking, along with the inclusion of new provisions relating to organization, management, audit and inspection, and liquidation and amalgamation. It was thought that such a provision, while no guarantee against wrongdoing, would ensure a modicum of efficiency and integrity in the conduct of business. This became a reality only in 1949 when the Banking Companies Act came into effect from March 1949. Subsequently, this became the Banking Regulation Act of 1949 with effect from March 1966.

Exchange Banks: This category of banks received Purshotamdas's special attention, and he tried his utmost to highlight the monopoly role of the non-Indian exchange banks in India's foreign trade. At that time banks carrying on exchange business in India were merely branch agencies of banks that had their head-offices in London, on the Continent, in the Far East, and the United States. Originally concerned only with the financing of external trade they had also started financing internal trade in later years. These banks enjoyed a stranglehold on the import and export trade of the country—a monopoly which they enjoyed at the expense of their Indian competitors. While initially their operations were financed with money borrowed principally in London, later a large proportion of the finance was sourced by borrowing in India when they discovered that it was possible to attract deposits in India on terms almost as favourable as the ones in London.